6.7 The Economics of Happiness

Video: The Economics of Happiness (Crash Course Economics)

Rethinking the Old Model

Traditional economics assumed we have unlimited desires and that _____.

Economists and psychologists found a disconnect between how we spend and what actually makes us feel _____. Sometimes getting paid nothing can make us happier than getting paid.

Money and Happiness

There is a _____ between greater income and greater happiness, but more money has _____ for day-to-day happiness.

Thought Bubble example: a $10,000 prize means much more to a baker earning $50,000 than to one earning $500,000.

A 2010 study found day-to-day happiness stops changing much above about $75,000 a year (about $82,000 adjusted for _____). But overall life _____ kept rising with money.

Economic Choices That Affect Happiness

Psychologists believed people have a _____ for happiness, but newer studies show economic choices can have lasting effects.

_____ lowers life satisfaction by more than the lost paycheck explains, partly from worry about the future.
Hours worked: happiness rises from part time to full time, then declines, like an _____.
Long _____, _____, and unpredictable inflation make people less happy.

Comparing Ourselves to Others

The _____ says the satisfaction we get from our income depends on how we are doing compared to everyone around us.

The _____: as a country's income rises, average happiness does not always follow.

Explanation	Idea

Status	We get happiness from _____ rather than absolute income
	We adapt to new things, so they stop making us happier
Not a paradox	Some research, such as Stevenson and Wolfers, finds happiness does rise with _____

Measuring Progress

A focus on _____ and growth might hide issues like income inequality and environmental damage.

Bhutan tracks _____, which considers the social, physical, spiritual, and environmental health of its citizens. In 2011 the United Nations encouraged countries to give more weight to happiness and _____.

Think About It

Besides money, name two things that you think make people truly happy. How could a country measure them? _____